

CASE STUDY · SEPTEMBER 2026

Cocoa quadrupled. What it did to Swiss chocolate, and what comes next

How fast and how far higher cocoa costs reached Swiss shelf prices and export prices, 2000–2026, and what the recent fall in cocoa implies for the next twelve months

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Executive summary: cocoa reached Swiss shelves late but strongly; relief is likely to follow the same slow path

Situation. World cocoa prices rose more than fourfold between 2022 and January 2025 (+328% in francs). The strong franc absorbed part of it.

Complication. Swiss consumers paid 23% more for chocolate by August 2026, against 4% for food overall. A standard percentage pass-through model predicted only half of the increase since end-2023; modelling cocoa costs in francs explains most of it. Abroad, the export unit value of retail chocolate rose by 61% while export volume fell by 20%.

Now. Cocoa has fallen by half from its peak, but shelf prices are only 3% below theirs. Cocoa costs reach the shelf with a lag of about a year, so most of the next twelve months is already determined by past purchases.

Implication. Both models point to 4–7% lower chocolate shelf prices over the next year (parameter uncertainty roughly –1% to –9%), with little difference between cocoa scenarios. Producers should expect pressure from retailers to pass on the relief; how much margin recovers depends on their hedge book.

+328%

cocoa in CHF, 2022 to peak (Jan 2025)

+23%

Swiss consumer price of chocolate, 2022 to Aug 2026 (food: +4%)

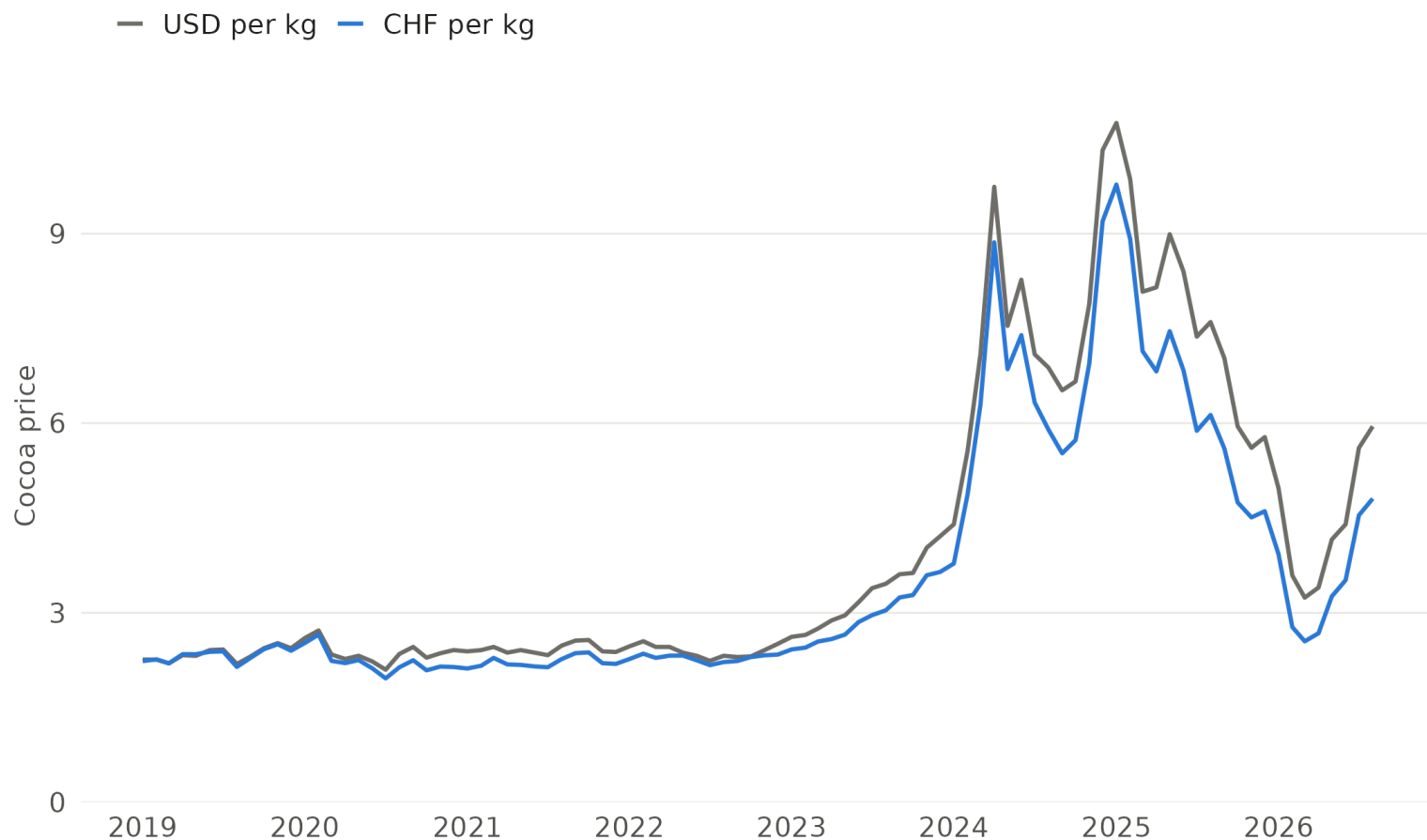
1.3%

shelf-price increase per 10% higher cocoa price after 24 months (2002–2026)

–20%

export volume of retail chocolate, last 12 months vs 2022

Cocoa quadrupled in 2023–25; the strong franc absorbed part of the increase



2.28 → 9.78

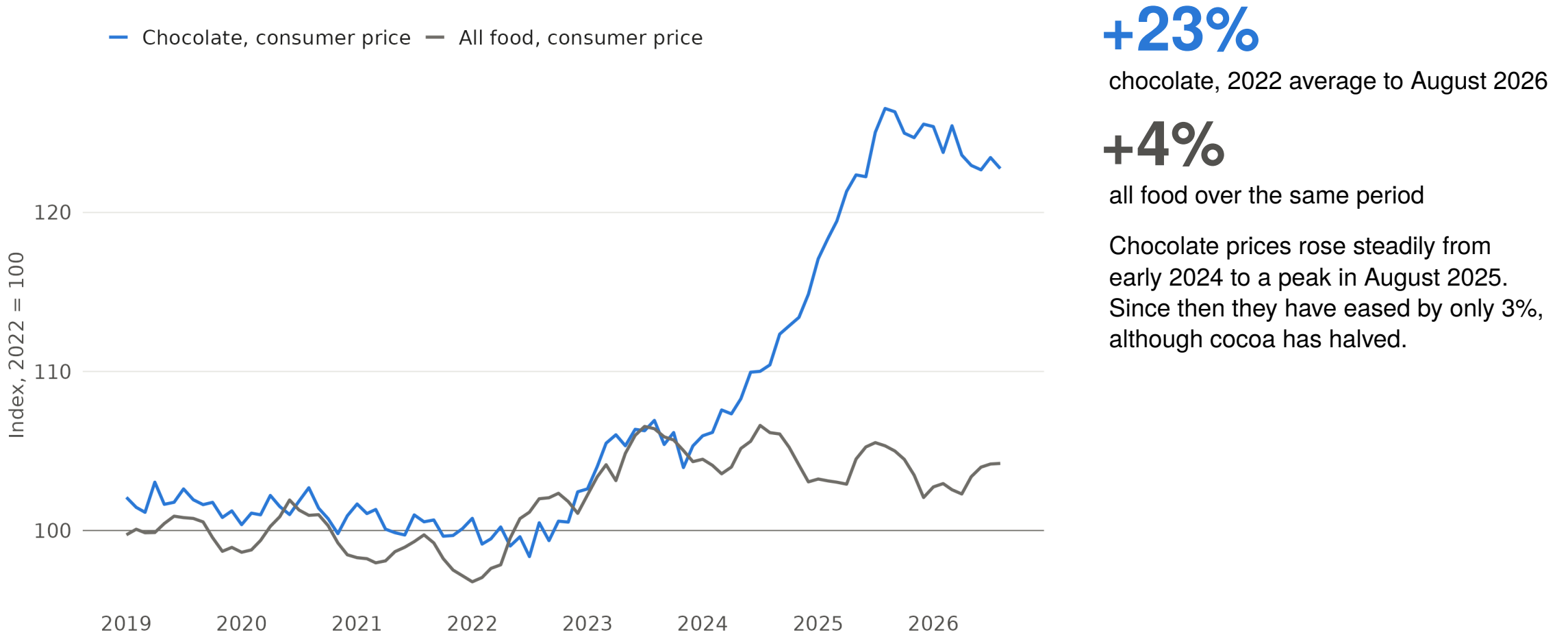
CHF per kg cocoa: 2022 average to peak (January 2025)

4.81

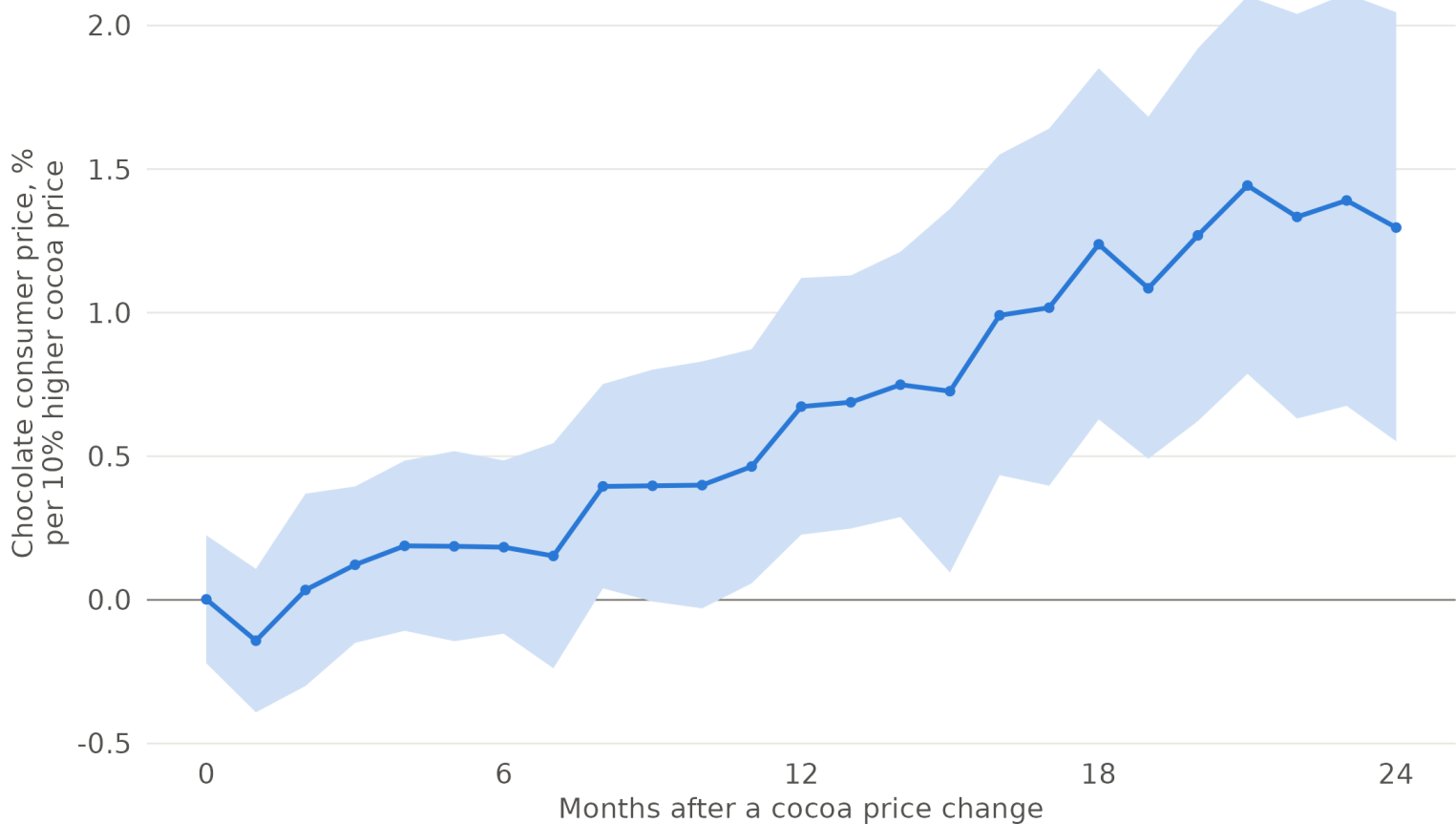
CHF per kg in August 2026: half the peak, still double 2022

The dollar lost 15% against the franc (2022 to Aug 2026). In USD the rise to the peak was +349%, in CHF +328%; in August 2026 +149% vs +110%.

Swiss chocolate became 23% more expensive, five times the rate of food overall



Cocoa costs reach the shelf slowly: 10% dearer cocoa has meant about 1.3% dearer chocolate two years later



1.3%

per 10% cocoa after 24 months, 2002–2026 (95% CI 0.6–2.0%); before 2023: 0.9%

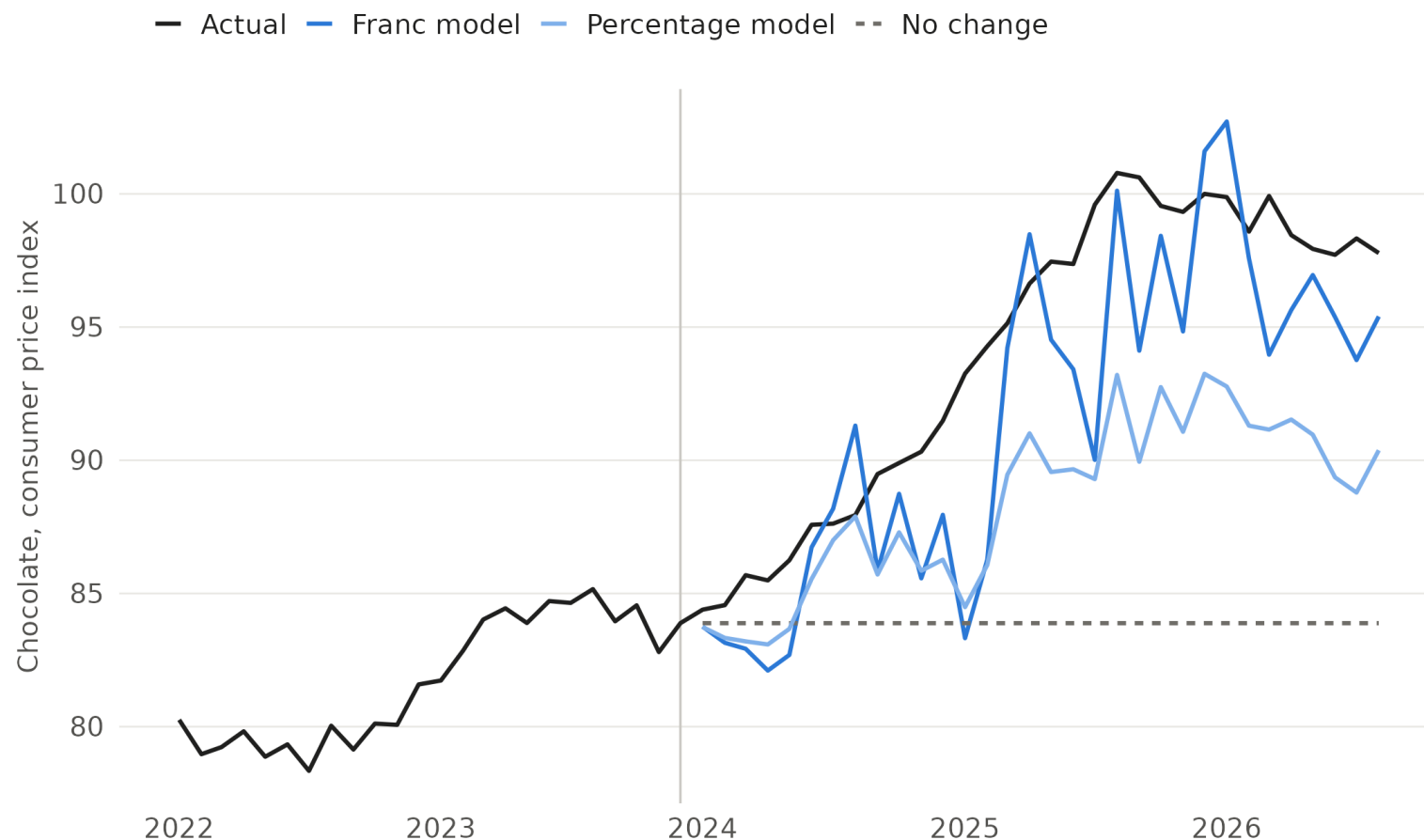
~12

months until half of the effect has arrived

Cocoa is only one part of a bar’s cost next to milk, sugar, packaging, labour and retail margin; forward buying delays the effect. Export unit values show a larger estimate, 2.3% per 10% (1.0–3.8%), but the intervals overlap.

Sources: World Bank Pink Sheet (cocoa, ICCO); SNB (CHF/USD); BFS Swiss consumer price index LIK; BAZG foreign-trade indices by CPA. Own calculations. Regression of monthly changes in the chocolate price index on current and 24 lagged changes in cocoa (CHF), controlling for food prices and calendar month; 2002–2026, 295 months; Newey–West 95% CI.

A percentage model under-predicted the rise by half; measuring cocoa in francs per kg explains most of it



+17%

actual change, Dec 2023 to Aug 2026

+14% vs +8%

predicted by the franc model vs the percentage model

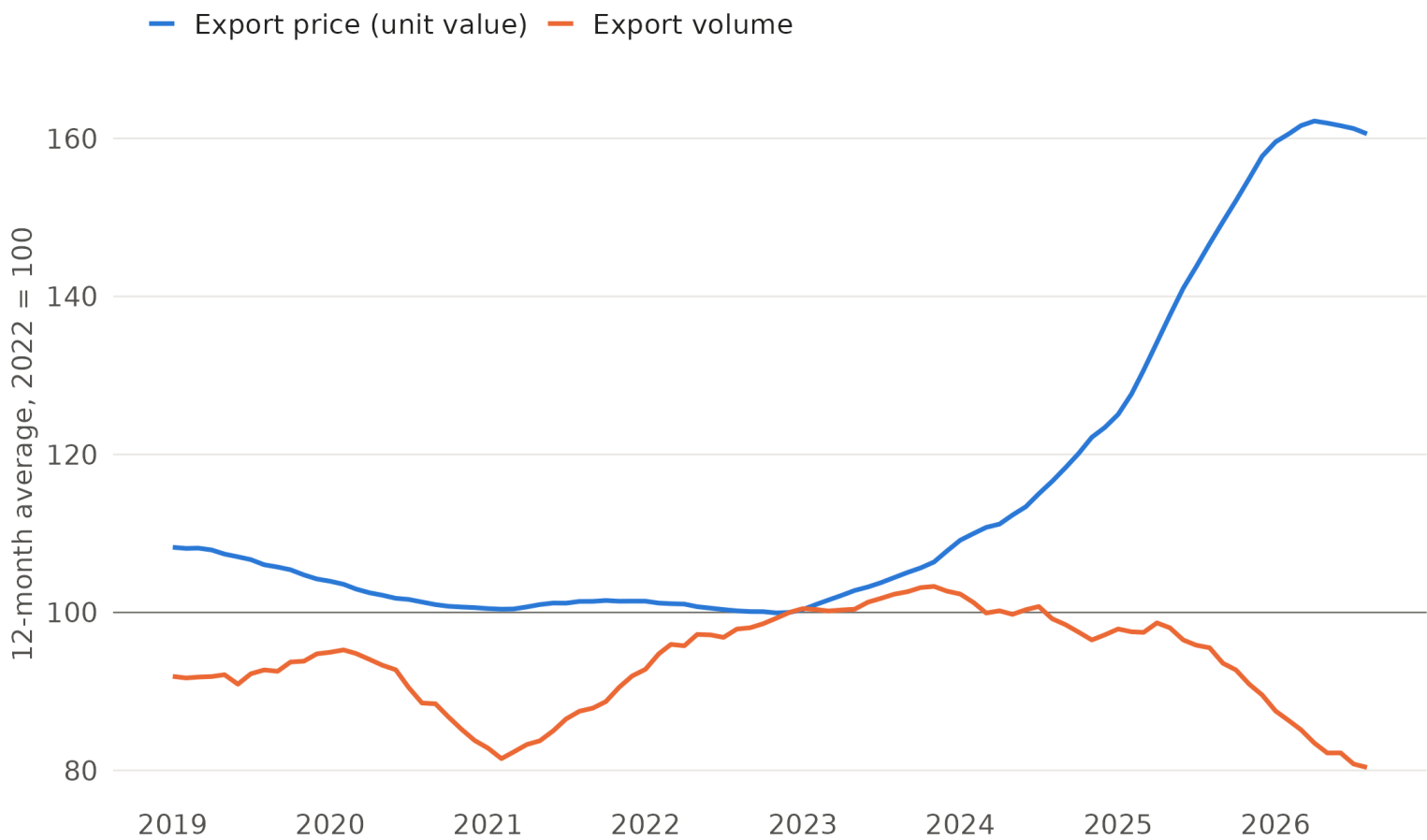
4.4% vs 7.0%

forecast error (RMSE); “no change”:
12.9%

When cocoa gets dearer, it becomes a larger share of a bar’s cost, so a fixed percentage rule understates the effect. Both models lag the actual rise by several months. With cocoa frozen at its Dec 2023 level (a true ex-ante forecast) the model predicted only +4%.

Sources: World Bank Pink Sheet (cocoa, ICCO); SNB (CHF/USD); BFS Swiss consumer price index LIK; BAZG foreign-trade indices by CPA. Own calculations. Both models estimated on data up to December 2023 only, then fed with the actual cocoa and food prices of January 2024 to August 2026 (conditional backtest, 32 months). The franc model uses the CHF change of cocoa relative to the shelf-price level.

Export unit values of Swiss retail chocolate rose 61%, while export volume fell 20%

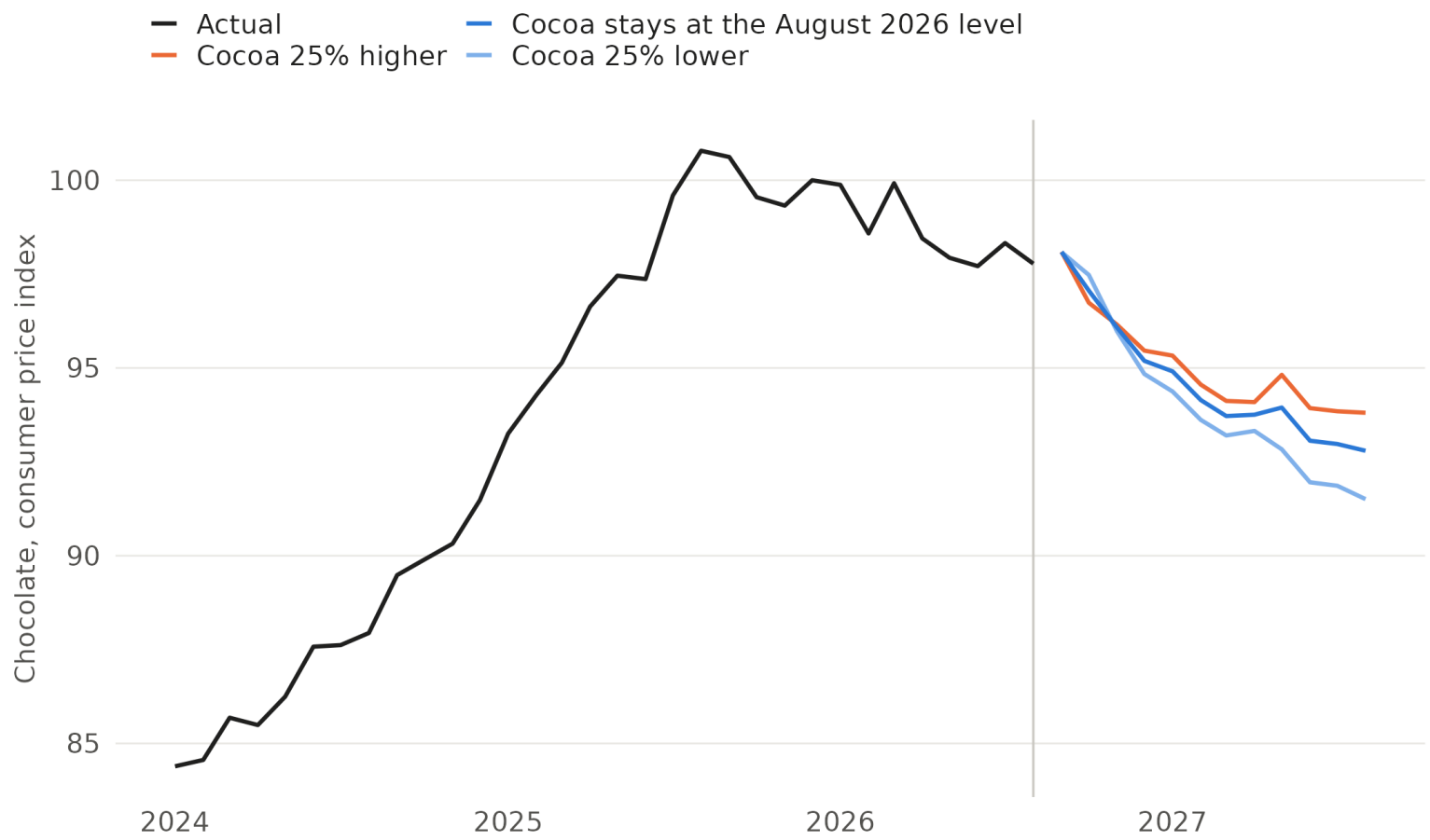


Last 12 months vs 2022

	Price	Volume
Retail chocolate	+61%	-20%
Bulk chocolate	+56%	-2%
Cocoa paste, butter, powder	+118%	+24%

The volume drop is concentrated in retail chocolate and depends on the base year (-13% vs 2021). Higher prices are a likely driver, but US tariffs on Swiss goods in 2025 fall in the same period, and unit values also reflect product mix. Import prices of cocoa semi-finished products rose by 185%.

With cocoa halved, both models point to 4–7% lower shelf prices within a year, set largely by past cocoa costs



Chocolate price, Aug 2026 to Aug 2027

	%-model	Franc m.
Cocoa 25% higher	-4.1%	-3.9%
Cocoa flat	-5.1%	-5.5%
Cocoa 25% lower	-6.4%	-7.0%

Parameter uncertainty alone: -1% to -9% (flat, %-model). Scenarios differ little because most of the next year is driven by cocoa bought earlier. No asymmetry was found in the past, but a fall this large is outside historical experience.

What this could mean for a Swiss chocolate maker

1 Pricing

- Cocoa has halved while shelf prices fell 3%; margins may recover from 2027, depending on the hedge book.
- Retailers will likely ask for the relief: the models point to 4–7% lower shelf prices within a year.
- Planned, communicated price steps may be easier to defend than waiting for negotiations.

2 Export volume

- The volume loss is concentrated in retail chocolate; price is a likely driver, US tariffs a second one.
- Winning volume back may depend on price points in key markets, not only on cost relief.
- Check by market: tariff-hit markets and price-sensitive markets need different answers.

3 Procurement

- Half of a cocoa move reached shelf prices after about a year, consistent with forward buying.
- The strong franc cut the cost increase; currency and cocoa risk belong in one view.
- Pass-through grows with cocoa's cost share: budget in francs per kg and stress-test extreme moves.

Approach, data and limitations

Data (monthly)

Cocoa price	World Bank Pink Sheet (ICCO indicator), USD/kg, CC BY 4.0
Exchange rate	SNB, CHF per USD, monthly average
Consumer prices	BFS, LIK detailed indices since 1982 (Dec 2025 = 100)
Exports, imports	BAZG, chain-linked unit value and volume indices by CPA, since 2012

Methods

- Distributed-lag regression in log changes (24 monthly lags), Newey–West SE; alternative “franc model” in CHF changes relative to the shelf price
- Backtest fitted to Dec 2023, conditional on actual cocoa prices; projection to Aug 2027 with parameter uncertainty
- Sensitivity: 18/30 lags, sugar prices, no food control, USD prices, pre-2023 sample: 0.9–1.3% per 10%

Limitations

- **Aggregate data.** No company costs, contracts or hedges; the implications are hypotheses.
- **Shelf prices** include imported chocolate and promotions; unit values mix product types.
- **Model uncertainty.** The percentage model underestimated this shock; plain OLS intervals are about twice as wide as Newey–West ones.
- **Other costs** (milk, sugar, energy, wages) are only partly controlled through food prices.
- **Provisional data.** BAZG values for 2026 may be revised.